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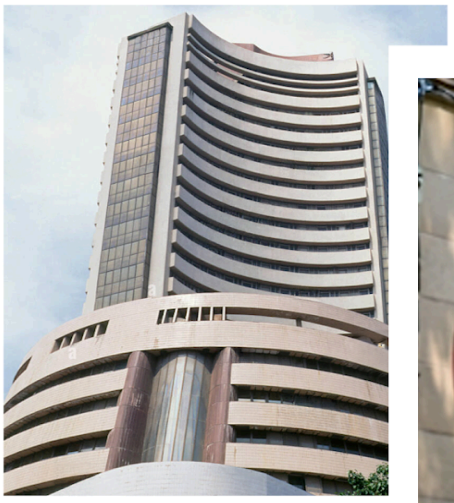
General Knowledge

Indian Economy

STUDY NOTES

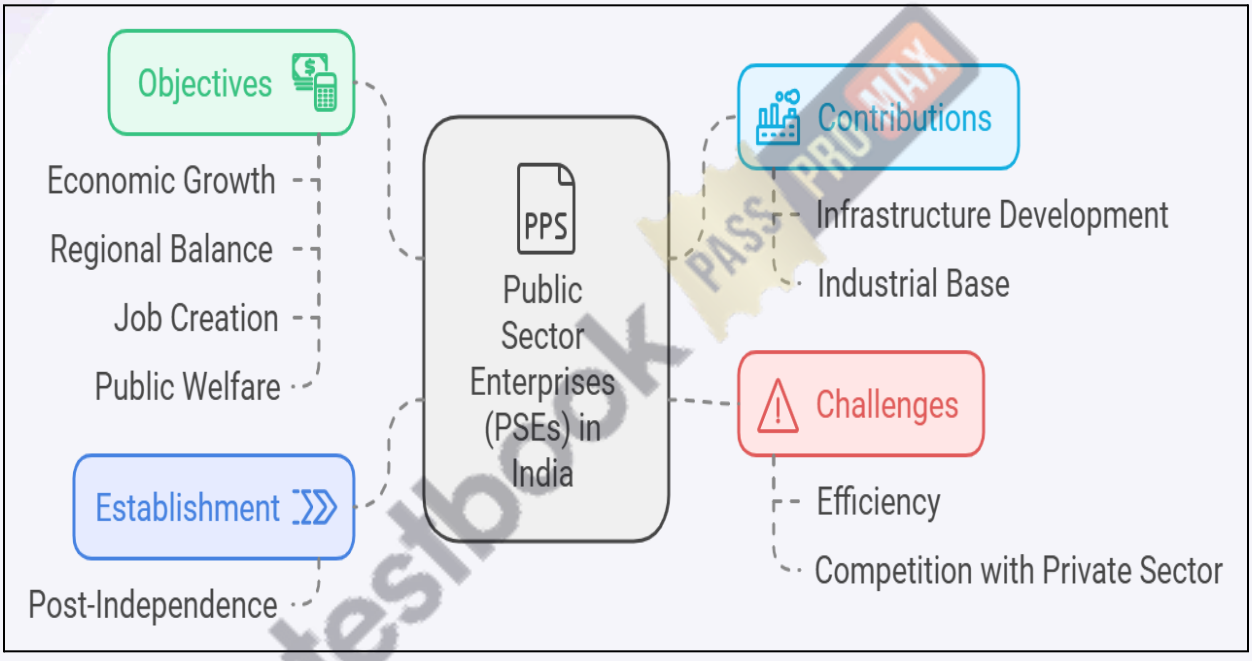
Public Sector Enterprises



Public Sector Enterprises

Introduction

- Public Sector Enterprises (PSEs) play a pivotal role in the economic and industrial development of a nation.
- They are established and operated by the **government** to achieve socio-economic objectives, promote public welfare, and foster balanced regional development.
- In India, public sector enterprises have a significant impact on employment, infrastructure development, and industrialization.



Objectives of Public Sector Enterprises

- **Economic Development:** Accelerate the rate of economic growth by developing critical sectors.
- **Social Welfare:** Address social issues like poverty and unemployment by providing stable jobs and essential services.
- **Balanced Regional Development:** Reduce regional disparities by establishing industries in economically backward areas.
- **Employment Generation:** Create job opportunities, particularly in regions with limited private sector investments.

- **Resource Mobilization:** Optimize the use of natural resources and public funds for productive purposes.
- **Control Over Key Sectors:** Retain control over strategic sectors like defence, energy, telecommunications, and transportation.
- **Price Stabilization:** Regulate the supply and pricing of essential goods to prevent market monopolies.

Types of Public Sector Enterprises in India

- Public Sector Enterprises in India are categorized based on their **ownership** structure, legal status, and operational domain.
- The major categories include:

Category	Description	Examples
Departmental Undertakings	Directly managed by government departments, they lack separate legal identities and are funded by government budgets.	Indian Railways, India Post
Statutory Corporations	Autonomous bodies created by a specific Act of Parliament, with independent legal status, to operate in specific industries.	Life Insurance Corporation of India (LIC), Oil and Natural Gas Corporation (ONGC)
Government Companies	Incorporated under the Companies Act with a government ownership of 51% or more of the shares, they have legal independence.	Bharat Heavy Electricals Limited (BHEL), Steel Authority of India Limited (SAIL), NTPC Limited

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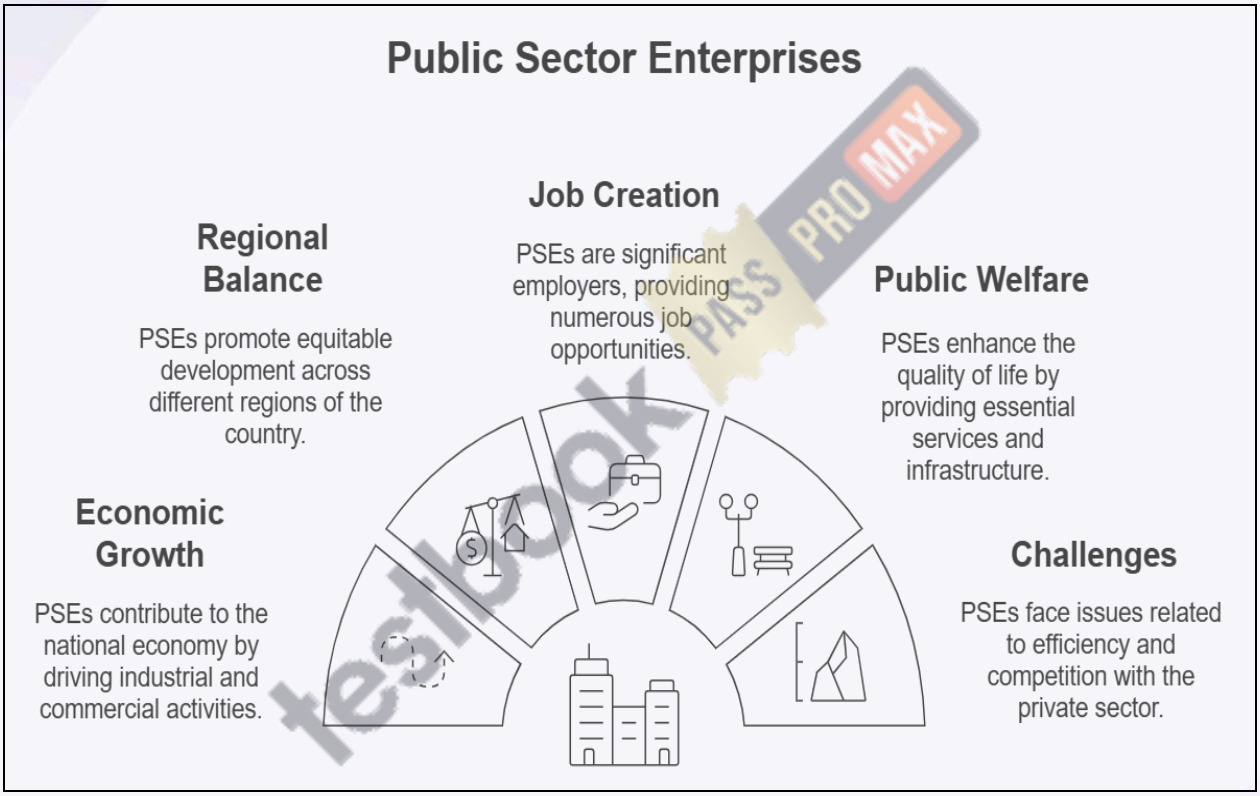
Key Sectors of Public Sector Enterprises

Sector	Major Enterprises	Functions
Heavy Industries	SAIL, BHEL, Coal India Limited	Production of steel, heavy machinery, coal, and power equipment essential for infrastructure and industrial development.
Energy and Power	ONGC, NTPC, GAIL	Exploration, production, and distribution of oil, gas, and electricity. Ensures energy security for the nation.
Telecommunications	BSNL, MTNL	Provides telecommunication services, particularly in rural areas to ensure digital connectivity across the country.
Banking and Insurance	SBI, LIC, United India Insurance	Financial inclusion and risk management through banking services and insurance policies accessible to all citizens.
Transport and Infrastructure	Indian Railways, Air India, NHAI	Ensures affordable, accessible, and reliable transportation services and develops critical infrastructure.
Research and Development	ISRO, DRDO, BARC	Promotes advancements in science and technology, focusing on space, defence, and nuclear research

Importance of Public Sector Enterprises in India

- Public Sector Enterprises are instrumental in India's growth, contributing to multiple aspects of national development:
  - **Economic Stability**: PSEs are essential for economic stability, providing services and products that prevent market fluctuations.
  - They ensure continuous operation even during economic downturns.
  - **Industrial and Economic Infrastructure**: Many PSEs were foundational in establishing key industries, like steel, power, and telecommunications.

- They serve as the bedrock for India's industrial infrastructure.
- **Equitable Wealth Distribution**: Public enterprises work toward reducing wealth concentration by creating employment and establishing industries in less developed regions.
- **Self-Reliance and Import Substitution:** Through sectors like defence (HAL, BEL), energy (ONGC, Coal India), and space (ISRO), India reduces dependency on imports and bolsters self-reliance in critical areas.
- **Employment Generation:** PSEs employ millions directly, and indirectly through allied sectors, reducing unemployment and supporting rural economies.



Maharatna and Navratna public sector enterprises in India

- Maharatna and Navratna are classifications for select public sector enterprises (PSEs) in India, introduced to provide enhanced autonomy and support for these government-owned companies in achieving operational efficiency and global competitiveness.
- These enterprises operate in strategic sectors and significantly contribute to India's economy.

Maharatna Public Sector Enterprises

- The Maharatna status is awarded to large PSEs that have consistently shown excellent financial and operational performance.
- Maharatna companies have greater financial and operational autonomy, allowing them to make substantial investment decisions without needing prior government approval.
- This autonomy empowers them to pursue strategic global projects and diversify their portfolios.
- They contribute to critical sectors like energy, defence, transportation, and manufacturing, promoting self-reliance and strategic growth in the Indian economy.

Eligibility Criteria for Maharatna Status:

- Net worth of at least ₹15,000 crore in the last three years.
- Turnover of ₹25,000 crore in the last three years.
- Annual net profit of at least ₹5,000 crore in the last three years.
- The company must already hold Navratna status.
- Privileges of Maharatna Companies:
    - Investment autonomy in projects up to ₹5,000 crore (or 15% of net worth) without government approval.
    - Greater flexibility in forming strategic alliances and expanding globally.

Company Name	Founding Year	Headquarters	Category
Bharat Heavy Electricals Limited (BHEL)	1964	New Delhi	Maharatna
Bharat Petroleum Corporation Limited (BPCL)	1952	Mumbai, Maharashtra	Maharatna
Coal India Limited (CIL)	1975	Kolkata, West Bengal	Maharatna
GAIL (India) Limited	1984	New Delhi	Maharatna
Hindustan Petroleum Corporation Limited (HPCL)	1974	Mumbai, Maharashtra	Maharatna
Indian Oil Corporation Limited (IOCL)	1959	New Delhi	Maharatna
NTPC Limited	1975	New Delhi	Maharatna

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Oil & Natural Gas Corporation Limited (ONGC)	1956	New Delhi	Maharatna
Power Finance Corporation Limited (PFC)	1986	New Delhi	Maharatna
Power Grid Corporation of India Limited (POWERGRID)	1989	Gurugram, Haryana	Maharatna
Steel Authority of India Limited (SAIL)	1954	New Delhi	Maharatna
REC Limited (formerly Rural Electrification Corporation Limited)	1969	New Delhi	Maharatna
Oil India Limited (OIL)	1959	Noida, Uttar Pradesh	Maharatna
Hindustan Aeronautics Limited (HAL)	1964	Bengaluru, Karnataka	Maharatna

Navratna Public Sector Enterprises

- The Navratna status is awarded to PSEs with strong financial performance and an established track record in operational efficiency.
- These enterprises have autonomy but with lesser financial limits compared to Maharatna companies.
- Navratna companies have the decision-making freedom to invest in projects, expand into new sectors, and form joint ventures, allowing them to compete effectively in the domestic market.
- Eligibility Criteria for Navratna Status:
    - Must hold Miniratna status.
    - A minimum score of 60 out of 100 is based on parameters like net profit, total manpower cost, profit before depreciation, interest, and taxes (PBDIT) to capital employed, among others.
    - Strong presence in the domestic market and consistent performance in profit and turnover.

Privileges of Navratna Companies:

- Investment autonomy in projects up to ₹1,000 crore (or 15% of net worth) without government approval.
- Flexibility to diversify operations, form strategic alliances and enter joint ventures.

Company Name	Founding Year	Headquarters	Category
Bharat Electronics Limited (BEL)	1954	Bengaluru, Karnataka	Navratna
Container Corporation of India Limited (CONCOR)	1988	New Delhi	Navratna
Engineers India Limited (EIL)	1965	New Delhi	Navratna
Hindustan Aeronautics Limited (HAL)	1964	Bengaluru, Karnataka	Navratna
Mahanagar Telephone Nigam Limited (MTNL)	1986	New Delhi	Navratna
National Aluminium Company Limited (NALCO)	1981	Bhubaneswar, Odisha	Navratna
NBCC (India) Limited	1960	New Delhi	Navratna
NMDC Limited	1958	Hyderabad, Telangana	Navratna
NLC India Limited (NLCIL)	1956	Neyveli, Tamil Nadu	Navratna
Oil India Limited (OIL)	1959	Noida, Uttar Pradesh	Navratna
Rashtriya Ispat Nigam Limited (RINL)	1982	Visakhapatnam, Andhra Pradesh	Navratna
REC Limited (formerly Rural Electrification Corporation Limited)	1969	New Delhi	Navratna
Shipping Corporation of India Limited (SCI)	1961	Mumbai, Maharashtra	Navratna
Rail Vikas Nigam Limited (RVNL)	2003	New Delhi	Navratna
ONGC Videsh Limited (OVL)	1965	New Delhi	Navratna
National Fertilizers Limited (NFL)	1974	Noida, Uttar	Navratna

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		Pradesh	
Central Warehousing Corporation (CWC)	1957	New Delhi	Navratna
Housing & Urban Development Corporation Limited (HUDCO)	1970	New Delhi	Navratna
Indian Renewable Energy Development Agency Limited (IREDA)	1987	New Delhi	Navratna
Mazagon Dock Shipbuilders Limited	1934	Mumbai, Maharashtra	Navratna
RailTel Corporation of India Limited	2000	New Delhi	Navratna
Solar Energy Corporation of India Limited (SECI)	2011	New Delhi	Navratna
NHPC Limited	1975	Faridabad, Haryana	Navratna
SJVN Limited	1988	Shimla, Himachal Pradesh	Navratna

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